

JSW Energy Limited v. Karnataka Electricity Regulatory Commission

WRIT PETITION No. 13316/2025, 14646/2025, 26022/2025, 30238/2025 (Consolidated) | High Court of Karnataka at Bengaluru
| Reserved / CAV judgment, 12 June 2026

COURT	High Court of Karnataka at Bengaluru (Single Judge)
CORAM	Hon’ble Mrs Justice K.S. Hemalekha
DATE OF JUDGMENT	12 June 2026 (reserved 08/04/2026; challenged KERC order dated 28.03.2025)
NATURE OF PROCEEDING	Writ Petitions under Articles 226 and 227 of the Constitution of India, challenging the KERC’s suo-motu order dated 28.03.2025 prescribing the Procedure for Data Collection, Scrutiny and Verification of Intra-State Captive Status of Generating Plants and Captive Users
PARTIES	Distributed Solar Power Association, JSW Energy Limited, Sembcorp Green Infra Pvt. Ltd., Green Infra companies, JSW Steel Limited and Orient Cement Limited (impleading applicant) (petitioners) v. Karnataka Electricity Regulatory Commission and Central Electricity Authority (respondents)
PROVISIONS	Sections 2(8), 2(49), 9, 42, 50, 86, 181, Electricity Act, 2003; Rule 3, Electricity Rules, 2005; Articles 226 & 227, Constitution of India
RESULT	Writ petitions allowed. The impugned KERC order dated 28.03.2025 prescribing Clause 6.7 (dynamic proportionality test and Unitary Qualifying Ratio) is quashed. KERC is directed to reconsider and frame an appropriate procedure consistent with Rule 3 of Electricity Rules, 2005 and the law declared by the Apex Court in <i>M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited</i> , after following due consultative process and principles of natural justice. No coercive action against petitioners pending reconsideration.

POINT FOR DETERMINATION

- Whether the impugned KERC order dated 28.03.2025, prescribing the test of proportionality for group active users through Clause 6.7, is contrary to Rule 3 of the Electricity Rules, 2005 and the law declared by the Apex Court in *M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited*?
- Whether the KERC could prescribe a dynamic ‘Unitary Qualifying Ratio’ (UQR) based on total actual captive consumption and total ownership, contrary to the proportionality formula recognized by the Apex Court ($51\% \div 26\% = 1.96\%$)?
- Whether the impugned order travels beyond the scope of Rule 3 of the Electricity Rules, 2005 and introduces a new substantive qualification mechanism not contemplated under the Rules or the Apex Court judgment?

FACTS

On 28 March 2025, the KERC issued a suo-motu order establishing a ‘Procedure for Data Collection, Scrutiny and Verification of Intra-State Captive Status of Generating Plants and Captive Users.’ Clause 6.7 of this order prescribes a test of proportionality for group captive users through a dynamic formula: Unitary Qualifying Ratio (UQR) = $Y \div X$, where Y is the percentage of total actual consumption by captive users and X is the percentage of total ownership of captive users in the generating plant. This formula recalculates the UQR dynamically based on total actual consumption and ownership, applied with ± 10 per cent variation.

The petitioners in these consolidated writ petitions are entities and associations engaged in captive generation and consumption: JSW Energy Limited (a captive generator), JSW Steel Limited (a captive user), Sembcorp and Green Infra companies (power generators and operators), and Distributed Solar Power Association (representing distributed solar producers and captive users). They contend that the KERC order violates Section 9 of the Electricity Act, 2003, Rule 3 of the Electricity Rules, 2005, and the law declared by the Apex Court in *Dakshin Gujarat*. The Orient Cement Limited impleading applicant supports the petitioners on similar grounds.

The petitioners argue that KERC’s dynamic UQR methodology departs fundamentally from the Apex Court’s interpretation of Rule 3 in *Dakshin Gujarat*, which established that proportionality between ownership and consumption must be tested against a fixed qualifying benchmark of $51\% \div 26\% \text{ ownership} = 1.96\%$ per 1% shareholding (with $\pm 10\%$ variation), not against total actual generation or total consumption. KERC, they contend, has rewritten Rule 3 without jurisdiction, without fresh consultation (despite prior draft regulations 2023 and 2024), and in violation of principles of natural justice. They argue the proportionality requirement applies only to qualifying thresholds under Rule 3, not to total actual consumption.

KERC and the supporting respondents (CEA and BESCOM) contend the dynamic UQR merely operationalizes the proportionality requirement already embedded in Rule 3 and is necessary to prevent ‘gaming’ by insignificant shareholders consuming disproportionate electricity while claiming surcharge exemptions. They argue that 1.96% is merely illustrative, not a rigid universal formula, and that KERC has delegated authority under Sections 42, 86, and 181 to frame verification procedures for intra-state captive projects. They contend the procedure is preventive of misuse and does not impose a cap but ensures proportional consumption.

REASONING OF THE COURT

HEADNOTE

A regulatory commission cannot, through a procedural order, introduce a verification methodology that departs from the statutory qualification criteria established by Rule 3 of the Electricity Rules, 2005 and the law declared by the Apex Court. Clause 6.7 of the impugned KERC order prescribes a dynamic Unitary Qualifying Ratio ($UQR = Y \div X$, based on total actual captive consumption and ownership) that contradicts the Apex Court’s interpretation: that proportionality must be tested against a fixed qualifying benchmark ($51\% \div 26\% = 1.96\%$), not total actual generation. Such an order is liable to be quashed, particularly when issued without fresh consultation despite prior draft regulations.

Statutory framework: Rule 3 establishes minimum qualifying thresholds, not maximum caps. Rule 3 of the Electricity Rules, 2005 prescribes that no power plant shall qualify as a captive generating plant unless the captive user(s) hold not less than 26 per cent ownership and not less than 51 per cent aggregate electricity generated, determined on an annual basis, is consumed for captive use. These words ‘not less than’ establish minimum qualifying thresholds only. Rule 3 does not contemplate any maximum cap or continuing ceiling on consumption. Once the

minimum thresholds are satisfied by the relevant entity or association, the plant qualifies as captive, and Rule 3 does not permit regulators to introduce additional disqualification mechanisms or upper-limit restrictions based on total consumption exceeding some proportion. The statute prescribes the qualification floor; it does not authorize regulators to rewrite the floor through procedural formulas. ¶ 29–32, 45

The Apex Court in *Dakshin Gujarat* established a fixed UQR derived from qualifying thresholds, not total actual consumption. The Apex Court’s judgment in *Dakshin Gujarat* interpreted Rule 3’s proportionality requirement (second proviso to Rule 3(1)(a)) in the context of the qualifying criteria: minimum 26 per cent ownership and minimum 51 per cent consumption. The Court derived a unitary qualifying ratio by dividing the consumption requirement (51 per cent) by the ownership requirement (26 per cent), yielding 1.96 per cent. The Apex Court held that for every 1 per cent shareholding, there must be corresponding qualifying captive consumption of at least 1.96 per cent, with a permissible variation of ± 10 per cent (range 1.764 per cent to 2.156 per cent). The illustrations in *Dakshin Gujarat* paragraph 44 demonstrated this proportionality principle with reference to the qualifying thresholds of 51 per cent consumption and 26 per cent ownership, not with reference to 100 per cent of electricity generated or total actual consumption. Proportionality was examined to distribute the qualifying pool amongst group members, not to apply an upper ceiling to their actual consumption. ¶ 34–37, 43–44

KERC’s Clause 6.7 introduces a dynamic UQR contrary to the Apex Court’s interpretation. The impugned KERC Clause 6.7 prescribes the formula $UQR = Y \div X$, where Y is the percentage of total actual consumption by captive users and X is the percentage of total captive ownership in the generating plant. Under this formula, proportionality is determined with reference to total actual captive consumption and total ownership, not with reference to the qualifying threshold of 51 per cent consumption recognized in *Dakshin Gujarat* paragraph 43. This treats the UQR as a fluctuating or dynamic ratio recalculated based on total actual consumption of the entire plant, rather than as the fixed qualifying benchmark of $51\% \div 26\% = 1.96\%$ established by the Apex Court. KERC has thereby substituted the statutory qualifying ratio expressly explained by the Apex Court with an entirely different methodology, effectively rewriting Rule 3 through a procedural order. ¶ 38–42

The anti-gaming observations in *Dakshin Gujarat* do not justify departing from the fixed qualifying benchmark. Although the Apex Court in *Dakshin Gujarat* paragraphs 45–47 recognized the need to prevent ‘gaming’ by insignificant shareholders consuming disproportionate electricity, these anti-gaming observations cannot be read in isolation so as to substitute the qualifying ratio expressly explained in paragraph 43. The Court’s reference to preventing gaming signifies a concern with arrangements where small shareholders (e.g., 1 per cent) consume electricity far in excess of their proportional entitlement, thereby misusing statutory surcharge exemptions. However, gaming is checked by the fixed UQR of 1.96 per cent with ± 10 per cent variation; it is not a justification for abandoning that fixed benchmark in favour of a dynamic formula. The weighted average shareholding method for handling mid-year changes, discussed in *Dakshin Gujarat* paragraph 47, similarly operates within the qualifying framework; it does not authorize recalculation of the UQR itself based on total actual consumption. ¶ 45–47

KERC lacked jurisdiction to introduce a materially different methodology without fresh consultation and natural justice. KERC had previously issued draft regulations in 2023 and revised draft regulations in 2024 inviting stakeholder objections under Section 181 of the Electricity Act, 2003. The impugned order, introducing a materially different methodology based on total actual consumption (dynamic UQR: $Y \div X$) as opposed to the qualifying consumption benchmark of 51 per cent, cannot be issued without fresh consultation or hearing of the petitioners. The petitioners were entitled to notice and opportunity to respond to a methodology materially different from that proposed in draft regulations. Moreover, the contention that the order is merely procedural cannot be accepted in its entirety, because the methodology prescribed directly impacts the determination of captive status and consequent liability towards cross-subsidy surcharge and additional surcharge. When a procedural order affects substantive rights and financial liability, principles of natural justice require prior notice and hearing. Accordingly, the impugned order

introduces a dynamic UQR contrary to the qualifying benchmark explained in *Dakshin Gujarat*, violates principles of natural justice by lack of fresh consultation, and cannot be sustained. ¶ 48–49

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003 & ELECTRICITY RULES, 2005

Section 2(8) — Definition of Captive Generating Plant

Section 2(8) defines a captive generating plant as a power plant set up by any person to generate electricity primarily for his own use, and includes plants set up by cooperative societies or associations of persons for generating electricity primarily for use of their members. The statutory word ‘primarily’ is the touchstone; Rule 3 operationalizes this requirement by prescribing that not less than 51 per cent of aggregate electricity must be consumed for captive use. The definition contemplates various forms of ownership, including associations of persons, enabling groups to establish plants and claim captive status collectively. Once the statutory thresholds under Rule 3 are satisfied, the plant qualifies as captive without further limitation or restriction. ¶ 29

Rule 3(1)(a) — Minimum Qualifying Thresholds for Ownership and Consumption

Rule 3(1)(a) prescribes two cumulative requirements for a power plant to qualify as a captive generating plant: (i) not less than 26 per cent of ownership is held by the captive user(s); and (ii) not less than 51 per cent of the aggregate electricity generated, determined on an annual basis, is consumed for captive use. The statutory language ‘not less than’ establishes these as minimum qualifying thresholds; they are the floor, not the ceiling. Once satisfied, the plant qualifies as a CGP. Rule 3 does not contemplate any maximum cap, upper-limit ceiling, or disqualification mechanism based on total consumption exceeding some proportion. Rule 3(2) obliges captive users to maintain these minima throughout the year; failure to do so results in loss of captive status for that year. These provisions establish the foundation upon which the proportionality principle operates for group structures. ¶ 30–32, 45

Rule 3(1)(a) Second Proviso — Proportionality Requirement for Associations of Persons

The second proviso to Rule 3(1)(a) applies where the captive users are an association of persons. It requires that the captive user(s) hold not less than 26 per cent of ownership in aggregate and consume not less than 51 per cent of aggregate electricity on an annual basis, ‘in proportion to their shares in ownership of the power plant within a variation not exceeding ten percent.’ The Apex Court in *Dakshin Gujarat* clarified that this proportionality principle specifies a unitary qualifying ratio: the consumption requirement (51 per cent) divided by the ownership requirement (26 per cent) equals 1.96 per cent. Thus, for every 1 per cent of shareholding held by a captive user, there must be corresponding qualifying captive consumption of at least 1.96 per cent, with a permissible variation band of ± 10 per cent (yielding a range of 1.764 per cent to 2.156 per cent). Crucially, proportionality is tested with reference to this fixed qualifying benchmark—the qualifying thresholds of 51 per cent and 26 per cent—not with reference to 100 per cent of electricity generated or to total actual consumption of the plant. Proportionality operates to ensure fair distribution of the qualifying pool amongst group members, and any individual member consuming less than 1.96 per cent per 1 per cent shareholding (outside the tolerance range) does not qualify as a captive user and may be liable to pay surcharge. ¶ 34–37, 43–47

Delegated Authority Under Sections 42, 86, and 181 — Bounded by Statutory Criteria and Apex Court Interpretation

Although a State Regulatory Commission possesses delegated authority to prescribe procedures for verification of captive status under Sections 42, 86, and 181 of the Electricity Act, 2003, this delegated power is not unlimited. It

operates within the boundaries established by the statute and the law declared by the Apex Court. A procedural order that introduces a substantively different methodology—such as a dynamic Unitary Qualifying Ratio ($Y \div X$) calculated from total actual consumption and ownership—that contradicts the fixed qualifying benchmark ($51\% \div 26\% = 1.96\%$) established by Rule 3 and interpreted by the Apex Court constitutes an unauthorized rewriting of the Rule through the guise of procedure. When such methodology would materially alter the determination of captive status and consequent liability to surcharges, the order cannot be characterized as merely procedural; and where it departs from prior draft regulations without fresh consultation or hearing, it violates principles of natural justice, rendering the order unsustainable. ¶ 41–42, 48–49

RATIO DECIDENDI

A regulatory commission may not introduce, through a procedural order, a verification methodology for captive generating plant status that departs from the statutory qualification criteria established by Rule 3 of the Electricity Rules, 2005 and the authoritative interpretation thereof by the Apex Court. Where the Apex Court has established that the proportionality requirement for associations of persons derives a fixed unitary qualifying ratio of 51 per cent consumption divided by 26 per cent ownership (equals 1.96 per cent per 1 per cent shareholding, with ± 10 per cent variation), tested against the qualifying thresholds and not against total actual consumption, a State Commission's adoption of a dynamic UQR formula (total actual consumption $\div$ total ownership) contradicts that law and amounts to an unauthorized rewriting of the Rule. Such an order, especially where issued without fresh consultation and compliance with principles of natural justice, is liable to be quashed.

ALSO HELD & OBITER

- **Rule 3's qualifying thresholds do not license misuse despite the absence of express upper limits.** Although Rule 3 does not expressly prescribe maximum caps on consumption, the presence of minimum thresholds and the statutory framework of the Act—particularly the surcharge exemption provisions in Section 42(2)—implicitly contemplate that qualifying entities act in good faith and do not misuse the exemption. The legislature's silence on upper limits does not constitute a licence for abuse; and proportionality principles ensure that within group structures, no member can disproportionately benefit while holding minimal shares.

DISPOSITION

The writ petitions are allowed. The impugned order dated 28.03.2025 passed by the KERC is hereby quashed. The KERC is directed to reconsider the matter and frame an appropriate procedure consistent with Rule 3 of the Electricity Rules, 2005 and the law declared by the Apex Court in *M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited and Another*, after following due consultative process and principles of natural justice. Till such reconsideration, no coercive action shall be taken against the petitioners. Pending I.As, if any, do not survive for consideration.

SIGNIFICANCE

A High Court statement on the limits of regulatory delegated authority in interpreting electricity law. Four propositions stand out:

- **Procedural orders cannot redefine substantive statutory thresholds.** Where an Act and Rules establish substantive criteria (here, minimum ownership and consumption percentages), a regulator's procedural order cannot introduce a new formula or methodology that materially alters or recalculates those criteria. Procedure must operationalize the statute; it cannot rewrite it. A regulator exceeds its delegated authority when it substitutes the

qualifying benchmark established in the statute and interpreted by the Apex Court with a different one, even if dressed as procedure.

- **Anti-gaming concerns are built into the fixed proportionality standard, not a reason to abandon it.** The Apex Court’s reference to preventing ‘gaming’ reflects a legitimate policy concern, but that concern is already addressed by the fixed UQR of 1.96 per cent with ± 10 per cent tolerance. Proportionality, properly applied, prevents insignificant shareholders from disproportionately consuming electricity. A regulator cannot invoke gaming concerns to justify departing from the fixed benchmark and adopting a dynamic one; the fixed standard is the anti-gaming mechanism.
- **Fresh consultation is required when substantially changing a proposed regulatory methodology.** Where a regulator has previously published draft regulations and invited public comment, a materially different approach—one based on total actual consumption rather than qualifying consumption thresholds—cannot be adopted without fresh notice, consultation, and hearing. The procedural duty to consult is heightened when the proposed change affects substantive rights and financial liabilities, and when the changed methodology was not present in the earlier consultation.
- **The characterization of an order as ‘procedural’ does not excuse compliance with statutory authorization and natural justice.** An order that prescribes the means by which captive status is verified may be procedural in form, but if the prescribed methodology substantively affects eligibility for statutory exemptions and financial liability, the order must be justified by statutory authorization and must observe principles of natural justice. Calling something ‘procedure’ does not relieve a regulator of the duty to stay within its delegated powers or to afford notice and hearing.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited and Another</i> 2023 SCC Online 1276 · Supreme Court of India	Interpreted Rule 3(1)(a) of the Electricity Rules, 2005 and established the law on captive generating plant eligibility: minimum 26 per cent ownership and 51 per cent consumption thresholds, with a proportionality requirement for associations of persons expressed as a fixed unitary qualifying ratio of $51\% \div 26\% = 1.96\%$ (with $\pm 10\%$ variation). Held that proportionality operates with reference to these qualifying thresholds, not total actual generation. Recognized the anti-gaming principle and weighted average shareholding method for handling mid-year changes.	Relied on
<i>Kadodara Power Pvt. Ltd. and Others v. Gujarat Electricity Regulatory Commission and Another</i> 2009 SCC Online APTEL 119 · Appellate Tribunal for Electricity	Held that the minimum ownership and consumption criteria for captive users must be satisfied, with proportionality in group structures. Recognized that ownership of a CGP may be transferred after setup and the transferee may become a captive user if compliant with Rule 3. Later affirmed by the Apex Court in <i>Dakshin Gujarat</i> .	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.